miniscule, there was a danger of them falling prey to hostile takeovers, opines Subedar.

But Tata Trusts, which held a 77 per cent stake in the holding company, had no funds to buy the rights issue. They could, however, renounce their entitlement in favour of Tata companies. This had three advantages. First, the Tata Sons shares would stay within the group; second, funds would flow into companies (when Tata Sons increased stakes in its companies through the issue of preference shares by companies and TSL funding the expansion and modernization of Tata Companies); and third, it would give the group increased voting rights. The third aspect was critical as under a 1963 amendment in the Income Tax Act of 1956 the voting rights of trusts could only be exercised by the public trustee appointed by the Central government during AGMs.

As a 17.46 per cent owner of Tata Sons, the support of the Shapoorji Pallonji Group was sought for the rights issue. Ratan requested Pallonji to support a proposal for some of the Tata companies to buy 15 per cent of the rights shares that the Trusts would renounce in their favour.

Pallonji did not respond for two years: When he came back, he demanded a quid pro quo. ‘Let me buy 3 per cent more [than the Tata companies] so that I continue to vote on more than what you would do [through the companies that would have 15 per cent of the shares]. You own more than that through the Trusts,’ Ratan quoted Pallonji as having told him.

Ratan was unhappy. But as the threats to the Tata companies had increased in the liberalized ecosystem post-1991, he was forced to relent. Leveraging his position as the second-largest shareholder, Pallonji prised from Ratan more shares than his entitlement. Pallonji picked up the shares for Rs 70 crore, a large amount for a shareholder to pay in the early 1990s, adds Soonawala. Consequently, the Shapoorji Pallonji Group’s overall holdings in Tata Sons increased to 18.4 per cent.

Ratan’s decision to acquiesce to an increase in Pallonji’s stake in Tata Sons to more than the rights offering was also because he expected the Shapoorji Pallonji Group to always stand with the Tatas. Pallonji maintained a low profile and even promised that he would never vote against the Tatas. He was a figure who hardly made his presence felt in Bombay House.

Pallonji had also maintained close relations with JRD, and his construction company benefitted immensely from its association with the